

D216

Business Law for Accountants

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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Items

1.

A homeowner who has owned her house for ten years offers a painting contractor \$6,000 to paint it by June 1. The contractor, whose crew of eight just finished a school project, replies, "I accept, but the price will be \$6,500." Under common law, what is the legal effect of the reply?

- A. A contract forms and the new price is a proposal under UCC 2-207.
- B. It is a counteroffer that rejects the original offer; no contract yet.
- C. It forms a contract at \$6,500.
- D. It forms a contract at \$6,000.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2. [TRANSFER — reversed stem / different variable]

Two merchants exchange forms for the sale of 1,000 steel brackets. The buyer's acceptance adds a term setting interest on late payments. The term is not material, and the seller does not object. Under UCC 2-207, what is the result?

- A. A contract forms, and the added term becomes part of it.
- B. No contract forms, because the acceptance is not a mirror image.
- C. A contract forms, but the added term is only a proposal.
- D. No contract forms unless both parties sign the same form.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

A hospital with 300 beds signs a contract to buy a \$900,000 MRI machine, and the price includes one day of staff training. The hospital's board approved the purchase unanimously. Which body of law governs the contract?

- A. The UCC for the machine and common law for the training, split by value.
- B. Common law, since any contract with a service element is a service contract.
- C. UCC Article 2.
- D. Common law, because training is a service.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4. [TRANSFER — reversed stem / different variable]

Which contract is most likely governed by common law rather than the UCC?

- A.** A sale of 2,000 used textbooks to a bookstore.
- B.** The purchase of a delivery van that comes with a one-year service plan.
- C.** A lease of construction equipment.
- D.** A \$50,000 engagement for a firm to redesign a company's payroll process, including a \$500 software license.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

A furniture store with a busy online shop orally agrees by phone to buy 50 office chairs from a manufacturer for \$7,500 total. The two have worked together for six years. The manufacturer later refuses to deliver, and nothing was ever written or signed. Can the store enforce the deal under the UCC?

- A.** Generally no; a sale of goods for \$500 or more needs a signed writing unless an exception applies.
- B.** Yes, because the parties' long relationship substitutes for a writing.
- C.** No, because every business contract must be in writing to be enforced.
- D.** Yes, because oral contracts for goods are enforceable at any price.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6. [TRANSFER — reversed stem / different variable]

Which oral agreement is enforceable without a writing under the statute of frauds?

- A.** A contract to sell a lake cabin.
- B.** A six-month employment contract.
- C.** A promise to pay a friend's debt if the friend does not.
- D.** A contract to sell \$2,000 of goods.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

For five years, a purchasing agent for a construction firm with 90 employees ordered lumber from one supplier, and the firm always paid. The firm quietly fired the agent in April but did not tell the supplier. In May, the former agent ordered \$12,000 of lumber in the firm's name. The supplier's owner recently expanded into roofing materials. Is the firm bound?

- A. No, because the supplier's move into roofing changed the relationship.
- B. Yes, because the agent still had actual express authority.
- C. No, because firing the agent ended all authority.
- D. Yes, through apparent authority, because the supplier reasonably relied on past dealings and got no notice.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

Three friends open a bakery as a general partnership. One partner, who handles marketing and has a large social-media following, signs a \$60,000 equipment loan for the business. The business fails and cannot repay. The bakery was voted best in town. Who is liable to the lender?

- A. Only the partnership's assets; the owners' personal assets are protected.
- B. Each partner for one-third, or \$20,000.
- C. Only the partner who signed.
- D. Each partner personally, for the full \$60,000.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9.

A private biotech company with 400 employees plans its first sale of stock to the public. Its lab recently won a federal research grant. Which law requires it to file a registration statement with the SEC before selling?

- A. No law; companies with fewer than 500 employees are exempt.
- B. The Sarbanes-Oxley Act.
- C. The Securities Act of 1933.
- D. The Securities Exchange Act of 1934.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10. [TRANSFER — reversed stem / different variable]

A listed company must file annual 10-K and quarterly 10-Q reports, and an insider who trades on material nonpublic information violates Rule 10b-5. Which law created these ongoing requirements?

- A.** State blue-sky laws.
- B.** The Securities Act of 1933.
- C.** The Securities Exchange Act of 1934.
- D.** The Sarbanes-Oxley Act.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

A public company with a new headquarters in Denver asks its outside audit firm, which has audited it for eight years, to also design its financial information system. Under the Sarbanes-Oxley Act, what is the result?

- A.** It is prohibited; the auditor cannot design the client's financial information system.
- B.** It is allowed because the firm already knows the client well.
- C.** It is allowed if the audit committee pre-approves it.
- D.** It is allowed because SOX restricts only private companies.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12.

On March 1, a struggling printing company that had been in business for 22 years paid a paper supplier \$30,000 on a bill that was six months overdue. The company was insolvent at the time and filed for Chapter 7 on April 15. The supplier is not an insider. Can the trustee recover the payment?

- A.** No, because the look-back applies only to insiders.
- B.** Yes; it is a preferential transfer within 90 days of filing.
- C.** No, because the company's 22-year history shows the payment was ordinary.
- D.** No, because paying a valid debt can never be undone.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer B Concept 1

A homeowner ~~who has owned her house for ten years~~ offers a painting contractor \$6,000 to paint it by June 1. The contractor, ~~whose crew of eight just finished a school project,~~ replies, "I accept, but the price will be \$6,500." Under common law, what is the legal effect of the reply?

Target word: effect of the reply **Decides:** The reply changes the price; common law needs a mirror image.

A	Adjacent category	The UCC governs goods; painting is a service.
B	Correct	A changed term is not acceptance under the mirror image rule.
C	Inverted operation	Treats the offeree's new term as binding on the offeror.
D	Dropped element	Ignores the changed price in the reply.

2. Answer A Concept 1 • transfer

Two merchants exchange forms for the sale of 1,000 steel brackets. The buyer's acceptance adds a term setting interest on late payments. The term is not material, and the seller does not object. Under UCC 2-207, what is the result?

Target word: result under the UCC **Decides:** Between merchants, immaterial added terms join the contract absent objection.

A	Correct	The merchant rule in 2-207 absorbs immaterial terms that draw no objection.
B	Adjacent category	That is the common-law rule; this is a sale of goods.
C	Confusion set	That is the result when at least one party is not a merchant.
D	Absolute language	The UCC was designed to form contracts despite differing forms.

3. Answer C Concept 2

A hospital ~~with 300 beds~~ signs a contract to buy a \$900,000 MRI machine, and the price includes one day of staff training. ~~The hospital's board approved the purchase unanimously.~~ Which body of law governs the contract?

Target word: governing law **Decides:** The predominant purpose is buying goods.

A	Adjacent category	Courts apply one body of law based on predominant purpose.
B	Absolute language	The test is predominant purpose, not the mere presence of a service.
C	Correct	A \$900,000 machine with a day of training is predominantly a sale of goods.
D	Confusion set	A minor service element does not change the predominant purpose.

4. Answer D Concept 2 • transfer

Which contract is most likely governed by common law rather than the UCC?

Target word: reverse: find the common-law contract **Decides:** Predominantly services.

A	Inverted operation	A pure sale of goods: UCC.
B	Confusion set	Predominantly goods despite the service plan.
C	Adjacent category	Leases of goods fall under UCC Article 2A.
D	Correct	Predominantly services; the license is incidental.

5. Answer A Concept 3

A furniture store ~~with a busy online shop~~ orally agrees by phone to buy 50 office chairs from a manufacturer for \$7,500 total. ~~The two have worked together for six years.~~ The manufacturer later refuses to deliver, and nothing was ever written or signed. Can the store enforce the deal under the UCC?

Target word: enforceability **Decides:** Goods of \$500 or more with no signed writing.

A	Correct	\$7,500 exceeds the threshold and no writing exists.
B	Camouflage	Six years of dealing does not satisfy the statute of frauds.
C	Absolute language	Many oral contracts are enforceable; only listed categories need a writing.
D	Dropped element	Leaves out the \$500 threshold.

6. Answer B Concept 3 • transfer

Which oral agreement is enforceable without a writing under the statute of frauds?

Target word: reverse: find the one outside the statute **Decides:** Can be performed within one year and fits no other category.

A	Confusion set	Interests in land require a writing.
B	Correct	Can be performed within a year and is not in any statute-of-fraud category.
C	Adjacent category	A promise to answer for another's debt must be in writing.
D	Wrong stem number	At or above \$500, a sale of goods needs a writing.

7. Answer D Concept 4

For five years, a purchasing agent for a construction firm ~~with 90 employees~~ ordered lumber from one supplier, and the firm always paid. The firm quietly fired the agent in April but did not tell the supplier. In May, the former agent ordered \$12,000 of lumber in the firm's name. ~~The supplier's owner recently expanded into roofing materials.~~ Is the firm bound?

Target word: is the principal bound **Decides:** The supplier was never told the authority ended.

A	Camouflage	The supplier's new product line is irrelevant to authority.
B	Confusion set	Actual authority ended at firing; the firm is bound on apparent authority.
C	Dropped element	Ignores the need to notify third parties who dealt with the agent.
D	Correct	The firm's conduct created the appearance; notice is needed to end it.

8. Answer D Concept 5

Three friends open a bakery as a general partnership. One partner, ~~who handles marketing and has a large social media following,~~ signs a \$60,000 equipment loan for the business. The business fails and cannot repay. ~~The bakery was voted best in town.~~ Who is liable to the lender?

Target word: who owes the debt **Decides:** General partners have unlimited personal liability for partnership debts.

A	Adjacent category	That describes an LLC or corporation.
B	Confusion set	Pro-rata sharing settles accounts among partners, not their liability to the lender.
C	Dropped element	She signed for the partnership, so all partners are bound.
D	Correct	Partners are jointly and severally liable for partnership obligations.

9. Answer C Concept 6

A private biotech company ~~with 400 employees~~ plans its first sale of stock to the public. ~~Its lab recently won a federal research grant.~~ Which law requires it to file a registration statement with the SEC before selling?

Target word: law governing an initial offering **Decides:** A first public sale of securities.

A	Camouflage	Employee count does not create a registration exemption.
B	Adjacent category	SOX adds governance and control rules, not the registration requirement.
C	Correct	The 1933 Act governs registration of new issues.
D	Confusion set	The 1934 Act covers trading and ongoing reporting after issuance.

10. Answer C Concept 6 • transfer

A listed company must file annual 10-K and quarterly 10-Q reports, and an insider who trades on material nonpublic information violates Rule 10b-5. Which law created these ongoing requirements?

Target word: reverse: from requirement to law **Decides:** Ongoing reporting and trading fraud rules.

A	Adjacent category	State laws regulate offerings within a state, not federal 10-K filings.
B	Inverted operation	The 1933 Act covers initial issuance, not ongoing trading.
C	Correct	The 1934 Act created periodic reporting and Rule 10b-5.
D	Confusion set	SOX added certifications and controls on top of the 1934 Act's reports.

11. Answer A Concept 7

A public company ~~with a new headquarters in Denver~~ asks its outside audit firm, ~~which has audited it for eight years,~~ to also design its financial information system. Under the Sarbanes-Oxley Act, what is the result?

Target word: is the service allowed **Decides:** Financial information systems design is a prohibited service.

A	Correct	SOX bans this service for audit clients.
B	Camouflage	Familiarity makes the threat worse, not better.
C	Adjacent category	Pre-approval applies to permitted services, such as tax work, not banned ones.
D	Inverted operation	SOX applies to public companies.

12. Answer B Concept 8

On March 1, a struggling printing company ~~that had been in business for 22 years~~ paid a paper supplier \$30,000 on a bill that was six months overdue. The company was insolvent at the time and filed for Chapter 7 on April 15. The supplier is not an insider. Can the trustee recover the payment?

Target word: recoverable or not **Decides:** Payment on old debt, while insolvent, 45 days before filing.

A	Confusion set	Insiders have a one-year window; outsiders still have 90 days.
B	Correct	Old debt, insolvency, and a payment inside the 90-day window.
C	Camouflage	Company age is irrelevant; a payment on a six-month-overdue bill is not ordinary course.
D	Absolute language	Preference rules exist to undo exactly such payments.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	4	
Wrong stem number	A figure copied from the prompt that is not the answer.	1	
Adjacent category	The right idea in the wrong bucket.	9	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	4	
Absolute language	Always, never, guarantee — where judgment applies.	4	
Confusion set	Every option is real; the test is exact role-matching.	9	
Camouflage	Answers a stem fact that was never the question.	5	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Offer and acceptance	Under common law an acceptance must mirror the offer; a changed term is a counteroffer that rejects the offer. Between merchants under UCC 2-207, additional terms can become part of the contract unless material or objected to.	Applying the mirror image rule to a merchant sale of goods, or treating a changed-price reply as acceptance.	A reply that adds or changes a term.
2	UCC vs. common law scope	UCC Article 2 governs sales of goods; common law governs services, real estate, and employment. Mixed contracts follow the predominant purpose.	Letting any service element turn a goods contract into a service contract.	Goods with a small service add-on, or services with a small goods add-on.
3	Statute of frauds	Contracts for goods of \$500 or more, interests in land, promises to pay another's debt, and contracts that cannot be performed within one year need a signed writing (subject to exceptions).	Believing all business contracts must be written, or that none must.	An oral deal and a dollar amount or time span.
4	Apparent authority	A principal is bound when its own conduct leads a third party to reasonably believe an agent has authority, until the third party gets notice that authority ended.	Thinking firing the agent ends authority as to everyone immediately.	Past dealings with a third party who was never told.
5	Owner liability by entity type	General partners are personally, jointly, and severally liable for partnership debts; corporate shareholders and LLC members generally risk only their investment.	Assuming only the partner who signed is liable, or that partners owe only their share.	A general partnership and an unpaid business debt.
6	1933 Act vs. 1934 Act	The Securities Act of 1933 regulates initial issuance (registration); the Securities Exchange Act of 1934 regulates trading, periodic reporting, and fraud such as Rule 10b-5.	Swapping the two acts.	First sale to the public vs. ongoing reports and trading.
7	Sarbanes-Oxley auditor limits	SOX bars a public company's auditor from providing certain nonaudit services, including financial information systems design, bookkeeping, and internal audit outsourcing; permitted services need audit committee pre-approval.	Thinking audit committee approval can permit a prohibited service.	An audit firm asked to do extra work for its public client.

#	Concept	Rule	Trap	Tell
8	Preferential transfers	A bankruptcy trustee can recover payments to creditors on old debt made while insolvent within 90 days before filing (one year for insiders).	Believing paying a valid debt can never be undone, or applying the one-year period to everyone.	A payment on an overdue bill shortly before a bankruptcy filing.

Course scope (public description): Business Law for Accountants is designed to provide the advanced accounting student an understanding of the legal environment and issues encountered in the profession. Topics include the Uniform Commercial Code (UCC), contracts, securities regulation, Sarbanes-Oxley Act, legal entities, ethics, agency, and bankruptcy. The prerequisite to this course is Financial Accounting.